CHAPTER THIRTY

THE JUDICIARY DECIDES

The Legal Battle

After his removal as chairman, Cyrus Mistry reacted by making some serious allegations, even attacking Ratan personally. Some of the most respected veterans of the Tata Group were also caught in the middle. His reaction led to a host of sensational stories in the media, besmirching the reputation of the nearly 150-year-old group.

Mistry unsheathed virtually every weapon in his arsenal to fight Ratan. Amongst the first steps he took was the letter sent to the directors of Tata Sons and Tata Trusts trustees, as described in the previous chapter. When the letter found itself in all the major publications in the next few days, it was evident that Mistry was priming for a no-holds-barred fight. The fight spooked the markets, and two days after Mistry's replacement, the key Tata Group companies had lost nearly Rs 10,700 crore in market capitalization.

After he was also removed from the boards of Tata companies, Mistry stepped up his efforts to mobilize public opinion in his favour and embarked on a media blitz. Tata Sons responded by stating: 'Mr Mistry was the Chairman of Tata Sons for almost 4 years and it is surprising that he is now making allegations on activities of Tata Sons after doing little to address them, in his tenure both as a Director (since 2006) and a Chairman since 2012.'

Mistry next legally challenged his removal via two investment companies of his group at the Mumbai Bench of the NCLT on 20 December 2016. However, his filing of the case, especially against his removal, ran contrary to his persistent claims that his battle was not personal but to protect the sacrosanct principles of good governance. This was underscored in a statement issued by Tata Sons on 20 December: 'Despite Mr Mistry's recent